

It is unlikely that you will ever need umbrella insurance, which is why it generally costs so little for protection of \$1 million or more. If you were successfully sued, it could have a significant impact on your finances. Buying umbrella insurance should be an easy decision.

The Elephant in the Room

Medical insurance is the one common issue that keeps people pursuing FI up at night. It is entrenched firmly in the upper-right quadrant. It's highly likely that we'll need it from time to time, and it's expensive. Unfortunately, for those living in the United States, there is no easy answer to the challenge of obtaining health insurance regardless of your financial situation. But being FI does offer more options than those available to most people following the standard path through life.

One option is to take advantage of subsidies provided through the Affordable Care Act (ACA) to buy medical insurance at a discounted rate. It is worth exploring the way the ACA was written. ACA subsidies make medical insurance available to low-income households who need assistance. Many people think of the ACA as healthcare reform. In reality, it's a tax law. It hasn't changed